

Overview of the Financial Year 2020

Operational Performance

Telefónica Deutschland Group's core business remained intact in 2020, even in the midst of the macroeconomic recession driven by COVID-19. Nevertheless, the company was not completely immune to the effects of the pandemic due to the restrictions imposed by the government. In a continued dynamic but rational market environment in the German mobile communications market, the Telefónica Deutschland Group again recorded solid customer development in 2020. This resulted in particular from the traction of the O₂ Free portfolio and historically low churn rates. In total, the Group recorded 1,043 thousand postpaid net adds (1,451 thousand in 2019) and 218 thousand M2M net adds (4 thousand in 2019) during the financial year, thanks to the positive performance of the consumer business combined with a robust partner business. In the prepaid business, a continuing prepaid-to-postpaid migration trend was evident in the market. In light of this, the Telefónica Deutschland Group recorded a decline in accesses of 813 thousand in 2020 (-447 thousand in the previous year).

Overall, the number of mobile accesses increased by +1.0% in 2020 and amounted to 44.3 million at year-end. The strongest driver was growth (+4.6% year-on-year) in the mobile postpaid segment excluding M2M, which recorded 23.6 million accesses as of 31 December 2020 (53.3% of the total mobile base, +1.8% percentage points year-on-year). The company's focus on customer retention measures and continued improvements in network quality, as well as tailwinds from COVID-19, resulted in historically low churn rates. The implied annualised churn rate for the O₂ brand improved to 13.1% compared to 15.5% in 2019, demonstrating sustained quality improvements and a multiple award-winning customer experience in the O₂ network. The number of M2M accesses as of 31 December 2020 was 1.4 million, up 18.3% year-on-year. In contrast, mobile accesses in the mobile prepaid segment fell by 4.0% year-on-year to 19.3 million.

While domestic business activity has been able to nearly completely recover from the COVID-19 effects in the meantime, the new lockdown since mid-December 2020 has impaired retail sales due to the closure of shops. This can be partly compensated by the optimisation in the direction of online channels. The ARPU trends in the financial year 2020 crucially reflect the development of the roaming revenues. These were impacted by the ongoing travel restrictions, counteracting the continued positive ARPU contributions from the successful marketing of the O₂ Free portfolio and from

value-added services. Own brand postpaid ARPU declined by 1.3% year-on-year in 2020. Excluding the loss of roaming revenue, own brand ARPU increased by 0.1% year-on-year in 2020.

We also recorded good demand for our O₂ my Home products in the fixed-line business and realised 55 thousand net adds (127 thousand in 2019), mainly driven by the high demand for VDSL services. The fixed-line customer base rose accordingly by 2.5% to a total of 2.3 million.

Financial Performance

Revenue in the 2020 financial year was EUR 7,532 million, an increase of 1.8% compared to the previous year and thus in line with expectations. This was driven by intact operating trends in mobile service revenues and fixed line revenues while absorbing the COVID-19 impact of approximately EUR -72 million, as well as robust demand for devices. Adjusted for the COVID-19 impact, revenue growth in 2020 would have been approximately 1.0 percentage points higher.

Operating income before depreciation and amortisation (OIBDA) adjusted for exceptional effects amounted to EUR 2,319 million in the reporting year, +0.2% compared to the previous year. The adjusted OIBDA margin of 30.8% (-0.5% percentage points year-on-year) was the result of the improved revenue mix and efficiency gains in operations, while COVID-19 dampened performance, particularly due to a lack of roaming revenue. The COVID-19 impact amounted to approximately EUR -58 million in the financial year 2020. Adjusted for these effects, growth in OIBDA adjusted for exceptional effects would have been approximately 2.5 percentage points higher in the reporting year.

Exceptional effects totalled EUR 364 million in the 2020 financial year (previous year: EUR -23 million) and mainly comprised the net disposal gain of EUR 407 million from the first transaction step in the sale of major parts of the business operations of the rooftop sites to Telxius Telecom, S.A. (>NOTES NO. 8 DISPOSAL GROUP). This was partly offset by restructuring expenses of EUR -38 million (previous year: EUR -22 million) and losses of EUR -5 million from the sale of spectrum licences.

Capital Expenditure

Capital expenditure (CapEx) amounted to EUR 1,094 million in 2020 (previous year: EUR 1,044 million) with a CapEx/Sales ratio of 14.5% (previous year: 14.1%). Within the current growth-oriented investment programme, the investment ratio in 2020 reflects, among other things, COVID-19-related postponements of some investments to the next years. The execution of the programme will take slightly

more time overall as a result of COVID-19, but the total volume of investments remains within the expected range. Despite this, the LTE expansion made steady progress and the Telefónica Deutschland Group successfully reached the milestone agreed with the Federal Network Agency for the end of the year. In addition, the Telefónica Deutschland Group's 5G network went live in the first 15 German cities in October 2020 and will be rapidly expanded in the coming months.

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OVERVIEW OF FINANCIAL YEAR 2020

	Actual 2019 (EUR million)	Outlook for 2020 (year-on-year in %)	2020 financial year (year-on-year in %)	Evaluation
Revenues	7,399	Flat to slightly positive year-on-year	EUR 7,532 million (+1.8%)	As expected
OIBDA adjusted for exceptional effects	2,316	Broadly stable to slightly positive year-on-year	EUR 2,319 million (+0.2%)	As expected
CapEx/sales ratio ¹¹	14.1%	< 17 – 18%	14.5%	As expected

Sale of major parts of the business operations of the rooftop sites

On 8 June 2020, the Telefónica Deutschland Group signed a comprehensive conglomerate of agreements with Telxius Telecom, S.A. („Telxius“), an affiliate of Telefónica, S.A. Group, for the sale of major parts of the business operations of the rooftop sites.

This includes the spin-off and sale of a large part of its passive infrastructure on approximately 10,080 mobile communications sites, consisting of around 10,000 rooftop sites and up to 80 tower sites, including the related lease agreements, associated assets and liabilities, know-how and other legal relationships, at a nominal purchase price of EUR 1.5 billion.

The active radio technology at the transferred stations remains the property of the Telefónica Deutschland Group and will continue to be used by the company, unchanged, for operation of the mobile communications network.

The transaction takes place in two steps: on 19 August 2020, approximately 60% of the sites (5,975 rooftop sites and 58 tower sites) were spun off into Telefónica Germany Mobilfunk Standortgesellschaft mbH („TGMS“), which was established in the first half of 2020. The shares in this company were transferred to Telxius on 1 September 2020. Subsequently, TGMS was renamed Telxius Towers Erste GmbH and merged into Telxius Towers Germany GmbH („Telxius Germany“).

A further approx. 40% of the sites are expected to be spun off in the second half of 2021 into Telefónica Germany Zweite Mobilfunk

Standortgesellschaft mbH, which was also newly founded in the reporting period and whose shares will then also be transferred to Telxius. The sites affected by this cannot be determined as of the publication date, as the specific selection of the individual transfer sites is not expected to take place until the end of the second quarter of 2021.

The specific selection of the individual sites to be transferred takes place on the basis of the technical condition of the individual locations and economic criteria. The negotiations with the landlords are not yet completed.

Due to the specific selection of the individual transfer sites prospectively only at the end of the second quarter of 2021, the related assets and liabilities cannot be identified individually at the end of the reporting period, so that no presentation is made of the transferable assets and liabilities as “held for sale” in accordance with IFRS 5.

The purchase price receivable, taking into consideration the purchase price adjustment from the first step of the transaction, amounts to EUR 945 million, thereof EUR 766 million was already paid in the reporting period. The portion of the purchase price receivable not yet due in the amount of EUR 179 million is due for payment in 2021 with a share of EUR 33 million. A further EUR 146 million will become due for payment in 2025.

Since the transfer of TGMS to Telxius, the Telefónica Deutschland Group is leasing areas on the transferred passive infrastructure from Telxius for the installation and operation of its active radio technology.

Business development is further detailed in the following sections.

¹¹ The CapEx/sales ratio of 17 – 18% that was originally forecast for 2020 was updated to < 17 – 18% when the results for the first half-year 2020 were published.

Results of Operations

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CONSOLIDATED INCOME STATEMENT

1 January to 31 December

(in EUR million)	2020	2019	Change	% change
Revenues	7,532	7,399	133	1.8
Other income	542	183	359	>100
Operating expenses	(5,391)	(5,290)	(102)	1.9
Supplies	(2,435)	(2,372)	(63)	2.6
Personnel expenses	(611)	(592)	(19)	3.2
Impairment losses in accordance with IFRS 9	(69)	(77)	8	(9.8)
Other expenses	(2,276)	(2,249)	(27)	1.2
Operating income before depreciation and amortisation (OIBDA)	2,683	2,292	391	17.0
OIBDA margin	35.6%	31.0%	–	4.6%-p.
Depreciation and amortisation	(2,369)	(2,416)	47	(1.9)
Operating income	314	(124)	437	>100
Financial result	(66)	(55)	(10)	18.5
Profit/(loss) before tax	248	(179)	427	>100
Income tax	80	(33)	113	>100
Profit/(loss) for the period	328	(212)	540	>100

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REVENUE BREAKDOWN

1 January to 31 December

(in EUR million)	2020	2019	Change	% change
Mobile business	6,730	6,647	83	1.2
Mobile service revenues	5,307	5,301	6	0.1
Handset revenues	1,423	1,346	77	5.7
Fixed-line/DSL business revenues	785	741	44	6.0
Other revenues	17	11	6	53.9
Revenues	7,532	7,399	133	1.8

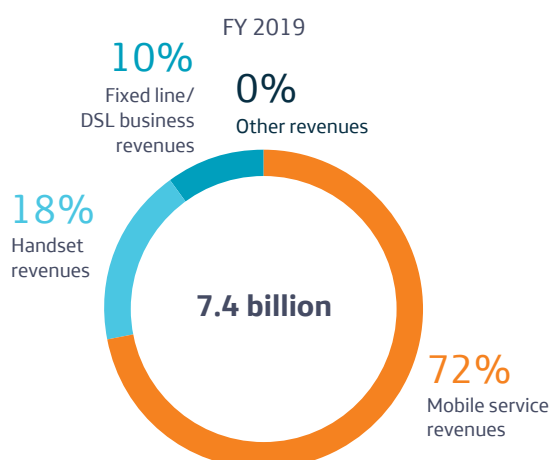
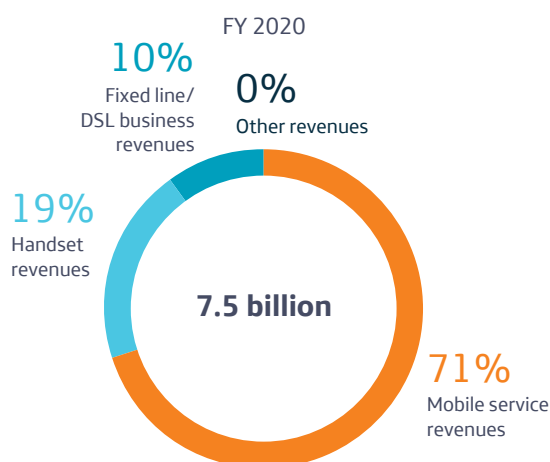
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RECONCILIATION OF PERFORMANCE INDICATORS ALSO USED FOR THE INTERNAL MANAGEMENT

1 January to 31 December

(in EUR million)	Consolidated Income Statement 2020	Exceptional effects from restructuring 2020	Exceptional effects from the sale of major parts of the business operations of the rooftop sites 2020	Other exceptional effects 2020	2020 adjusted	2019 adjusted	Change	% change
Revenues	7,532	–	–	–	7,532	7,399	133	1.8
Other income	542	–	(407)	(4)	132	183	(51)	(27.8)
Operating expenses	(5,391)	38	–	9	(5,345)	(5,266)	(79)	1.5
Supplies	(2,435)	–	–	–	(2,435)	(2,372)	(63)	2.6
Personnel expenses	(611)	28	–	–	(583)	(587)	4	(0.6)
Impairment losses in accordance with IFRS 9	(69)	–	–	–	(69)	(77)	8	(9.8)
Other expenses	(2,276)	10	–	9	(2,257)	(2,230)	(27)	1.2
Operating income before depreciation and amortisation (OIBDA)	2,683	38	(407)	5	2,319	2,316	4	0.2

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REVENUES
(IN % AND EUR BILLION)**Increase in revenue**

The revenue in the financial year 2020 increased in all revenue components in a year-on-year comparison, mainly thanks to the growth in the mobile hardware and fixed line/DSL business overcompensating the negative COVID-19 impacts of approximately EUR 72 million.

Stable mobile service revenues

The development of mobile services revenue was negatively impacted by COVID-19 effects in the 2020 financial year. This was reflected in a very limited contribution from roaming, especially as of the second quarter of 2020, as a result of the ongoing travel restrictions. In addition, the temporary lockdown in the second quarter and in the second half of December led to less trading, less gross new subscribers and lower demand for mobile voice and data packages in the prepaid segment as a result of the shift to WLAN use at home. The Telefónica Deutschland Group still operates in a dynamic competitive environment that is impaired by COVID-19. The above-mentioned negative revenue effects were counteracted by the continuing rise in data usage and sustained demand for the O₂ Free portfolio among new and existing customers. The larger customer base compared to 31 December 2019 is also a result of the robust development of our partner brands. Therefore, our postpaid mobile subscriber base excluding M2M grew by 1,043 thousand net new customers to 23.6 million in the financial year 2020 (increase in 2019: 1,451 thousand). This led to a 1.8 percentage point increase in the postpaid share of total mobile customers excluding M2M to 53.3% as of 31 December 2020 compared to 31 December 2019. Due to the factors described above, the average revenue per user (ARPU) was slightly below the previous year's level at EUR 9.9 (financial year 2019: EUR 10.0). As a result of the steady increase in LTE network coverage and a growing number of LTE-enabled mobile devices, the use of mobile audio and video applications is increasing and, as a consequence, the demand for larger data packages. Non-SMS data revenues as a percentage of data revenues rose by 1.1 percentage points to 91.8% in financial year 2020 compared to the previous year.

Significant increase in handset revenues

Handset revenues are generally subject to fluctuation, as they depend on the launch of new mobile devices. Due to continued high demand for mobile devices in financial year 2020, revenue from sales of increasingly high-end devices – including to mobile service partners – significantly increased year on year.

Rise in fixed line/DSL business revenues

Revenues from fixed line business rose in financial year 2020. This is mainly due to the growing customer base and the continued demand for VDSL products and the associated higher share of the customer base.

Other income increased as a result of the sale of major parts of the business operations of the rooftop sites

Other income increased significantly to EUR 542 million in the financial year 2020 (previous year: EUR 183 million). This mainly includes a net gain on disposal of EUR 407 million in connection with the first transaction step of the sale of major parts of the business operations of the rooftop sites to Telxius, which was completed on 1 September 2020 (→NOTE 8 DISPOSAL GROUP).

Higher operating expenses

Operating expenses increased in the financial year 2020 in comparison to the previous year, mainly due to the higher hardware cost of sales for mobile devices, as a consequence of the increase in sales cost and due to higher connectivity costs in connection with the COVID-19 pandemic. Operating expenses include exceptional effects of EUR 46 million (previous year: EUR 23 million), which are mainly attributable to higher restructuring expenses and to a lesser extent to disposal losses from the sale of spectrum licences. The decrease in customer service costs and allowances for bad debts compared to the prior-year period had a counteracting effect.

Increase in cost of materials and supplies

The cost of supplies in the financial year 2020 was higher than in the previous year. This is mainly due to the increased hardware cost of sales for mobile devices. The cost of connectivity was also slightly higher year-on-year. This was due particularly to the increase in voice volume for mobile and fixed-line communications resulting from the COVID-19 pandemic and higher data usage in the fixed-line network.

Rise in personnel expenses in a year-on-year comparison

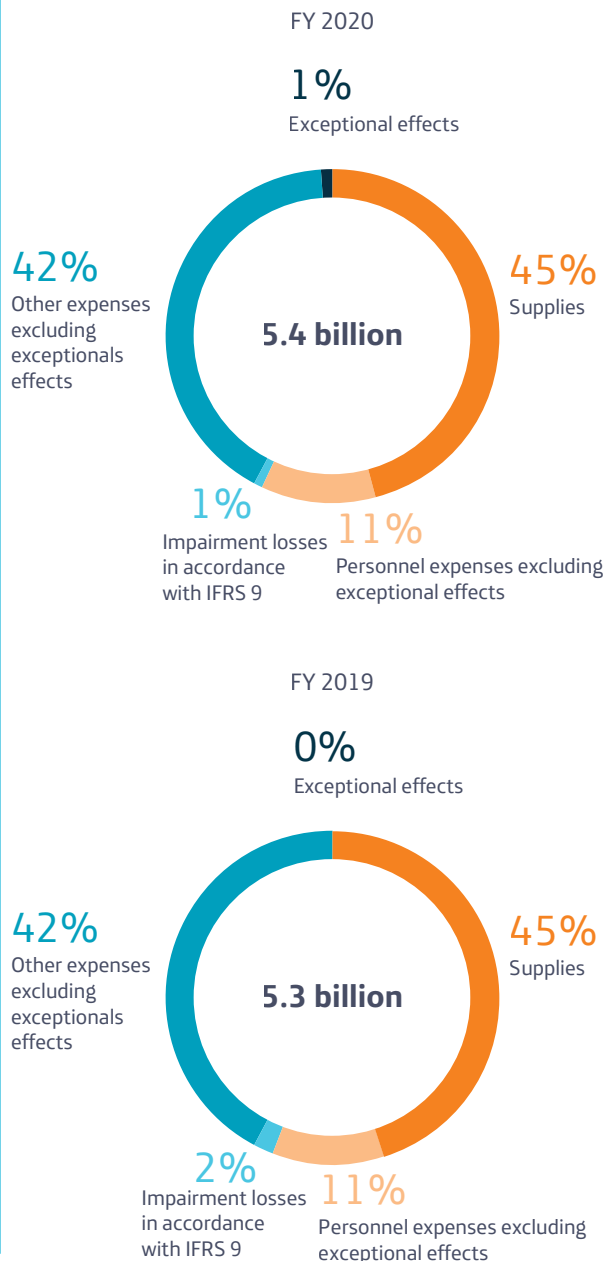
The personnel expenses grew in the 2020 financial year, particularly due to higher network restructuring expenses in the reporting period in the amount of EUR 28 million (2019 financial year: EUR 5 million) and through wage and salary adjustments. The reduction of personnel expenses due to a decline in the headcount in comparison to the previous year had a counteracting effect.

Other expenses slightly increased

Other expenses increased slightly in the 2020 financial year. This is essentially due to the higher sales costs in the year-on-year comparison. This was offset by lower restructuring expenses of EUR 10 million (previous year: EUR 17 million), which is mainly related to measures in the network area. In total, the exceptional effects amounted to EUR 19 million, as in the previous year.

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OPERATING EXPENSES (IN % AND IN EUR BILLION)

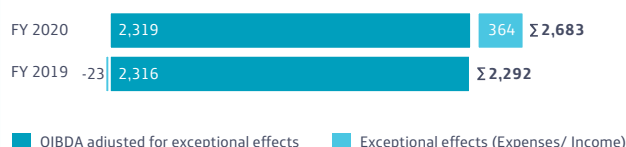


OIBDA adjusted for exceptional effects stable

OIBDA adjusted for exceptional effects was EUR 2,319 million in the 2020 financial year and therefore essentially at the level of the previous year (EUR 2,316 million). Negative COVID-19 effects of approximately EUR 58 million were essentially compensated by the revenue growth. The exceptional effects in the amount of EUR 364 million (previous year: EUR -23 million) in the financial year 2020 mainly comprised the net gain on disposal of EUR 407 million from the first transaction step of the sale of major parts of the business operations of the rooftop sites to Telxius and the restructuring expenses of EUR 38 million. As a result, OIBDA increased to EUR 2,683 million (previous year: EUR 2,292 million).

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OIBDA (IN EUR MILLION)



Decline in depreciation and amortisation

Depreciation and amortisation fell by a total of EUR 47 million to EUR 2,369 million in the financial year 2020. Depreciation and amortisation particularly decreased as a result of the network consolidation completed in the previous year, while the shorter useful life of 3G assets due to the planned shutdown of the 3G network by the end of 2021 had the opposite effect.

Operating income improved

The improvement in operating income was mainly due to the net gain on disposal of EUR 407 million as a result of the completed first transaction step of selling major parts of the business operations of the rooftop sites to Telxius.

Financial result affected by the interest effect of spectrum payables

The change in the financial result from EUR -55 million to EUR -66 million in the reporting period is primarily due to the interest effect of spectrum payables, which were recognised for the first time in the second half of 2019.

Income tax

The Telefónica Deutschland Group recorded positive taxable income in 2020 after proportionate offsetting with tax losses carried forward and consequently recognised provisions for current income taxes in the amount of EUR 15 million. The taxable income is thereby largely impacted by the spinning-off and sale, by way of initial transaction step, of material parts of the business operations of the rooftop locations. With the spin-off, hidden reserves were realised for tax purposes and subjected to tax within the minimum tax regime (proportional taxation with 60% utilisation of tax losses carried forward). Without the aforementioned transaction, no current tax would have been recognised.

The tax income of EUR 80 million reported in the financial year includes tax expenses of EUR 15 million for income tax liabilities made and counteracting tax income of EUR 95 million from changes in deferred taxes. Deferred tax income comprises, in addition to other effects, the expected taxable revenues and the associated proportional use of tax loss carry forwards for the spin-off of additional material parts of the business operations of the rooftop sites to Telefónica Germany Zweite Mobilfunk Standortgesellschaft mbH in 2021 that was contractually agreed as part of the second transaction step. In the previous year, deferred tax expenses amounted to EUR 33 million.

Positive result for the period

The result for the financial year 2020 was positive at EUR 328 million, after a negative result of EUR 212 million was posted in the previous year. This was mainly due to the net gain on disposal of EUR 407 million from the first transaction step of the sale of major parts of the business operations of the rooftop sites to Telxius. Furthermore, the reported tax income contributed to the improvement of the result.

Financial Position

Principles and goals of financial management

Risk control and a central management are the fundamental principles of financial management at the Telefónica Deutschland Group. The goal of financial management is to continually ensure sufficient financial liquidity and stability. Risk controls are used in order to anticipate potential risks and counteract those using corresponding measures. At present, there are no circumstances which would indicate that the Telefónica Deutschland Group cannot meet its financial obligations.

One key performance indicator is the net leverage ratio

(>MANAGEMENT REPORT MANAGEMENT SYSTEM).

Finance

Borrowed capital is obtained through credit facilities and capital market instruments.

Refinancing of the syndicated loan

On 22 March 2016, the Telefónica Deutschland Group signed a syndicated credit line in the amount of EUR 750 million, which on 17 December 2019 was replaced by a new revolving syndicated credit line in the same amount with a term until 17 December 2024. In 2020, the term of this credit line was extended by one year until 17 December 2025. The credit line serves general corporate purposes and has not been drawn as of 31 December 2020.

Financing agreements with the European Investment Bank (EIB)

On 13 June 2016, the Telefónica Deutschland Group signed its first financial agreement with the EIB, which amounted to EUR 450 million. The facility is intended to finance the consolidation, modernisation and expansion of the Telefónica Deutschland Group's mobile network after the acquisition of the E-Plus Group and was fully utilised as of 31 December 2020. The funds provided by the EIB have terms of up to eight years.

Further financing agreements with the EIB were signed on 18 December 2019 for EUR 300 million and on 14 January 2020 for EUR 150 million. This loan has not been drawn yet as of 31 December 2020. The EIB loan will also have a maturity of eight years as of drawdown and will be repaid in equal instalments.

Promissory notes and registered bonds

On 13 March 2015, the Telefónica Deutschland Group completed an initial placement of promissory notes and registered bonds with different maturities up to 2032 and a total volume of EUR 300 million. In February 2018, further promissory notes in various tranches and a registered bond with a total volume of EUR 250 million with various maturities up to 2033 were issued. In financial year 2019, further promissory notes in various tranches with a total volume of EUR 360 million with maturities up to 2029 were placed on 25 April.

Bond liabilities

In February 2014, O2 Telefónica Deutschland Finanzierungs GmbH placed a bond with a nominal amount of EUR 500 million and a term of seven years. In July 2018, this was followed by another bond with a nominal amount of EUR 600 million and a term of seven years. The issuer transferred the net proceeds on the issue of the bonds to its shareholder Telefónica Germany GmbH & Co. OHG as a loan. Both bonds are guaranteed by Telefónica Deutschland. The details are as follows:

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NOMINAL AMOUNT

Nominal amount (in EUR million)	Term from	until	Coupon p.a.
500	10/02/2014	10/02/2021	2.375%
600	05/07/2018	05/07/2025	1.75%

Telefónica Deutschland Group continues to benefit from the Telefónica, S.A. Group cash pooling

The Telefónica Deutschland Group will continue to participate in the liquidity management system of the Telefónica, S.A. Group. Agreements have been made with Telfisa Global B.V. for deposits and liquidity management. The liquidity of the entire Telefónica, S.A. Group is centralised by means of these agreements. This allows us to benefit from the economies of scale of the entire Telefónica, S.A. Group. The cash pool means that the Group continues to have access to short-term overdraft facilities up to a maximum of EUR 454 million. Telefónica, S.A. has guaranteed the performance of Telfisa Global B.V.'s obligations arising from the cash pooling agreements.

Unused credit facilities provide financial flexibility

The Group's financial flexibility remains secure reasoned to the availability of unused credit facilities totalling EUR 2,264 million. This comprises bilateral revolving credit facilities with various banks in the amount of EUR 610 million with a remaining term of more than one year, the undrawn syndicated credit line of EUR 750 million, the undrawn EIB loan of EUR 450 million and available short-term overdraft facilities of Telfisa Global B.V. of EUR 454 million.

Working capital strengthened by silent factoring

We have entered into factoring agreements with various credit institutions regarding the sale of receivables in order to strengthen our working capital. This mainly relates to factoring transactions for instalment receivables with a total net cash effect of EUR 611 million in financial year 2020. The sold receivables were fully derecognised at the time of sale, with the exception of continuing involvement. Further information on silent factoring can be found in the Notes to the Consolidated Financial Statements for the year ended 31 December 2020 (>Note 5.5 TRADE AND OTHER RECEIVABLES).

Financial efficiency and payment flexibility due to extension of payment periods

In order to obtain greater financial efficiency and cash flexibility, the Telefónica Deutschland Group has entered into agreements with certain commercial suppliers to extend payment periods. The industry-standard payment terms were not exceeded, so that a reclassification is not required, and the payments are shown within trade payables.

Financial analysis

Net financial debt declined

Net financial debt, as an essential component of the net leverage ratio, which amounts to 1.4x at the end of the reporting year, decreased by EUR 691 million to EUR 3,168 million as of 31 December 2020 compared to the previous year.

Table 6 shows the composition of net financial debt – i.e. the net amount of interest-bearing financial liabilities less any cash and cash equivalents and interest-bearing financial assets.

The reduction in net financial debt is due to the free cash flow in the amount of EUR 1,896 million, which includes the incoming payment for the purchase price receivable due in the financial year 2020 from the first transaction step of the sale of major parts of the business operations of the rooftop sites to Telxius in the amount of EUR 766 million. This was largely offset by the dividend payout of EUR 506 million for financial year 2019 and payments for lease liabilities totalling EUR 547 million.

The graphic below illustrates the development of net financial debt in the 2020 financial year.

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DEVELOPMENT OF NET FINANCIAL DEBT
(IN EUR MILLION)

